

PASIG CITY
AGENCY ACTION PLAN and STATUS of IMPLEMENTATION (AAPSI)
Audit Observations and Recommendations
For the Calendar Year 2024



Ref.	Audit Observations	Audit Recommendations	Agency Action Plan				Status of Implementation	Reason for Partial/ Delay/Non-implementation, if applicable	Action Taken/Action to be Taken
			Action Plan	Person / Dept. Responsible	Target Implementation Date				
					From	To			
AAR 2024 Observation No. 1 Pages 74-80	1. The balances of Property, Plant and Equipment (PPE) accounts amounting to P44.826 billion as of December 31, 2024, could not be ascertained due to: (a) unreconciled balances between the accounting and property records amounting to P988.584 million; (b) discrepancies in balances across the accounting records; (c) discrepancies in balances between Office of the General Services' (OGS) records amounting to P536.490 million; (d) lacking proper details of PPE items; (e) PPE items recorded in the books but not included in the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) aggregating P141.133 million;	We recommended that Management instruct: a. The CAO to – • Require the persons in charge of recording the PPE in the SLs, PPELC, and LS to coordinate with each other and reconcile their records; • Provide complete and adequate details of PPE in the LS;	They will adhere to the recommendation and agreed to closely monitor SLs to verify posted transactions and to reconcile with the LS. The PPE items lacking proper details were due to prior years' records generated from the old accounting system which could no longer access said system. Also, there was no proper turnover from previous staff handling the account. However, the City Accountant assured that they will update the records once they retrieve any records from other sources;	CAO CAO	May 2025 May 2025	December 2025 December 2025	Implemented On-going	 Incomplete details from prior years' records.	 CAO organized a one-time cleansing seminar last August 27-30, 2025 including discussion of updates. CAO will facilitate creation of JEVs to reflect discussed concerns.

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	(f) PPE items recorded in RPCPPE but are not recorded in the books in the total amount of P445.082 million; and (g) delayed recognition of PPE items ranging from 30 to 2,744 days; contrary to the provisions of Sections 119, 120 and 124, Chapter 7 of the Manual on New Government Accounting System (MNGAS) for Local Government Units (LGUs), Volume I, Section 491 of the Government Accounting and Auditing Manual (GAAM), Volume I, Section 111 (1) of Presidential Decree (PD) No. 1445, and other related COA Circulars. Hence, casting doubt on the reliability, validity, accuracy and completeness of PPE balances presented in the financial statements.	• Timely recognize PPE in the books; and	CAO is currently recording PPE upon full payment since they only receive supporting documents for the recognition of PPEs in the books including AIR upon transmission to their office for processing of payment subject to pre-audit; and	CAO/ OGS	May 2025	December 2025	On-going	Documents for timely recognition of PPEs were received by CAO only upon its payment processing.	In compliance with COA Circular 2012-001 for the Guidelines and Documentary Requirements for Common Government Transactions, CAO continuously requires PAR/ICS for PPEs as one of the supporting documents subject for pre-audit prior payment processing, and to ensure proper recognition of agency assets in CAO books.
			Various adjusting entries were made this May 2025.	CAO	May 2025	December 2025	Implemented		
				• Prepare the necessary adjusting journal entries. b. The OGS to – • Completely include PPE items with PCs to the RPCPPE; and • Regularly submit the AIR together with its supporting documents to CAO for the timely recognition of PPE. c. CAO and OGS to – • Coordinate with one another to eliminate the discrepancies identified	The CAO and OGS are in constant coordination for the process of	CAO/O GS	May 2025	December 2025	

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		between the accounting and property records; and • Strictly follow the procedures prescribed in COA Circular No. 2020-006 for the one-time cleansing of the PPE account balances.	reconciliation of PPE accounts					and OGS	and OGS with 17% of total PPE account balances of the City has been cleansed. Most PPE items in bulk were identified as semi-expendable items with ICS issued to end-users.
AAR 2024 Observation No. 2 Pages 80-85	2. The reported carrying balance of PPE could not be fully relied upon due to: (a) inconsistent reporting of Accumulated Depreciation (AD) in the SL and LS resulting in a discrepancy of P1.794 billion; and (b) erroneous recognition of depreciation amounting to P2.510 billion which resulted to overstatement of AD and Depreciation Expense, and understating Government Equity and PPE accounts as of the end of CY 2024, hence, not	We recommended that the Management instruct the CAO to: a. Properly reconcile their accounting records (GF and SEF) to correct/eliminate the discrepancies as identified; b. Conduct a comprehensive review of the calculation of depreciation of PPE;	CAO to adhere to the recommendations. Discrepancies were from prior years' balances. CAO have prepared the necessary adjusting pertaining to AD differences between the SL and LS in various JEVs dated March to May 2025	CAO CAO	May 2025 May 2025	December 2025 December 2025	Implemented Implemented		

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	in accordance with the Philippine Application Guidance (PAG) 6, Paragraph 88 of International Public Sector Accounting Standards (IPSAS) 17.	c. Ensure that the residual value as prescribed is properly applied and not reinstated in the computation of depreciation; and Effect the necessary adjustments so that the depreciation of the PPE strictly complies with PAG 6, Paragraph 88 of IPSAS 17							
AAR 2024 Observation No. 3 Pages 85-88	3. The existence, ownership and valuation of the Land account of P5.813 billion could not be ascertained and the submitted RPCPPE could not be relied upon due to: (a) unreconciled difference between the land database and RPCPPE both maintained by the OGS; (b) 210 parcels of land with an approximate total land area of 322,285.57 square meters (sqm.) remained untitled in the name of the City; (c) 261 parcels of land were still under the name of	We recommended that Management instruct: a. OGS to – • Reconcile the RPCPPE with its internal or land database; • Ensure the proper reporting of the identified land in the RPCPPE; • Obtain/secure TCTs for all City-owned parcels of land to establish absolute ownership and mitigate possible legal risks; • Properly monitor the inventory of land titles							

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	private/other government entity; and (d) 255 parcels of land with a total area of 690,900.88 sqm. under the name of the City were without acquisition costs/market value. All contrary to Section 57, Chapter 2 of the MNGAS for LGUs, Volume II, Section 39 (2) of PD No. 1445 and other related COA Circulars.	and ensure safekeeping of the same; and • Submit and reconcile RPCPPE to CAO for proper recording thereof. b. Appraisal Committee determine cost or fair valuation of the 255 parcels of land without acquisition cost/market value for proper recording/recognition in the books. c. Implementing Office to – • Provide the details of the lands to be titled pursuant to Ordinance No. 42, s. 2024; and • Submit an update on the status of titling as of year-end including utilization of allocated funds.							
AAR 2024 Observation No. 4	4. The PPE of the City amounting to P12.017 billion were not adequately insured with the General Insurance Fund (GIF) of the Government Service Insurance System (GSIS)	We recommended that Management direct the OGS to make sure that all the insurable properties of the City are adequately covered or insured with the GIF of the GSIS in							

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Pages 89-92	which is not in compliance with the provisions of RA No. 656 and COA Circular No. 2018-002, thus, depriving the City with adequate insurance protection against any damage or loss to its properties.	compliance with the provisions of RA No. 656 and COA Circular No. 2018-002.							
AAR 2024 Observation No. 5 Pages 92-95	5. The balances of CIP accounts of P1.267 billion as of December 31, 2024, were unreliable due to: (a) inclusion of completed projects amounting to P327.972 million; (b) inclusion of in-progress projects in the List of On-Going and Completed Infrastructure Projects (LOCIP) that are not recorded in the books amounting to P161.122 million; and in progress projects recorded in the books but not on LOCIP costing P619.133 million. Hence, not in accordance with the MNGAS for LGUs.	We recommended that Management direct: a. The CEO to – • Submit promptly the LOCIP as well as the COC and other supporting documents to the Auditor and to CAO for review and proper monitoring of the progress of the City's infrastructure projects; and • Strictly monitor the status and progress of infrastructure projects to minimize/avoid further delay in completion thereof. b. The CAO to prepare the necessary adjusting journal entries to reclassify the total costs	Properly check the account used by the bookkeeper during the JEV preparation	CAO.	January 2025	December 2025	Implemented		Record the corresponding infra asset account in the book upon submission of the documents in the accounting office.

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		of completed projects from CIP accounts to the appropriate asset accounts based on the COC submitted by the CEO; and CEO and CAO to properly reconcile the accounting records with the LOCIP.							
AAR 2024 Observation No. 6 Pages 95-99	6. The reported balance of Inventory accounts as of December 31, 2024 totaling P1.140 billion could not be ascertained due to the: (a) unspecified dates of issuances on Summary of Supplies and Materials Issued (SSMI), and Requisition and Issue Slip (RIS); and presence of dormant/unconsumed inventories in the Supplies Ledger Cards (SLC), contrary with the pertinent provisions of the MNGAS for LGUs, thereby, affecting the fair presentation of the financial statements as at year-end.	We recommended that the Management instruct: a. The OGS to submit to the CAO the SSMI together with the RIS bearing complete details according to the instruction provided in Annexes 35 and 33 of the MNGAS for LGUs, respectively, for the proper and timely recording of issuances of inventories; and b. The CAO to review the SLCs for inventory accounts with dormant/non-moving items, coordinate with the OGS whether these items are already consumed/issued, and effect the appropriate	The CAO regularly informed different WSE-Depot the submission of RIS/SSMI to all recorded inventory items in the books The CAO and OGS are in constant coordination for the process of reconciliation of inventory accounts	CAO/OGS CAO/OGS	January 2025 January 2025	December 2025 December 2025	On-going On-going		Conducted training last August 27-28, 2025 for proper recording and reporting of inventory supplies and materials. Participants are those involved in the receiving and issuance of supplies and materials The CAO has recorded the issuance of dormant/non-moving items in the books totaling P 173,042,695.19 out of the P 313,387,034.28 reflected in the SLCs, thereby reducing the balance of dormant/non-moving items to P 140,344,339.09.

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		adjustments, if necessary.							Continuous coordination is being undertaken with the OGS to validate the actual status of said items, whether consumed or issued, to ensure the accuracy of the inventory records.
AAR 2024 Observation No. 7 Pages 99-103	7. Donated Inventories received from Department of Health (DOH) amounting to P37.005 million, were not properly recorded in the books and issuances thereof were not fully accounted for, which is not in compliance with Paragraph 27 of IPSAS 1, Sections 145 and 146 of COA Circular No. 92-386, and Sections 120 and 121, Chapter 7, of the MNGAS for LGUs, Volume I, thereby resulting in the understatement of the inventory and related expense accounts.	We recommended that the Management instruct: a. The OGS to – • Closely coordinate with the warehouse keepers regarding the acceptance of donated inventories from DOH and other donors, if any; • Ensure that all receipt and issuances of the donated inventories from all the donors are properly documented; • Regularly submit the PTR, AIR and SSMI together with their supporting documents to the CAO for the timely recording of the receipt and issuances of the inventories in the books; and							

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		• Include the unissued donated inventories on the RPCI, if any. b. The CAO to update the books to reflect the receipt and issuance of donated items, upon receipt of the PTR, AIR and SSMI submitted by the OGS; and c. The CHD to regularly and timely notify OGS of the receipt of the donated inventories.	Record the items upon receipt of PTRs, AIR, and SSMI	CAO	January 2025	December 2025	On-going		PTRs with AIR were only submitted by the OGS to CAO last December 2024 - March 2025. The donated items from DOH covered by the said PTRs have been duly recorded in the books to reflect their proper receipt.
AAR 2024 Observation No. 8 Pages 103-107	8. The reported balance of the Cash in Bank (CIB) – Local Currency Account (LCA), comprised of Current, Savings and Time Deposits (TD) accounts, totaling P26.060 billion as of December 31, 2024, and the related income, expense, liability and equity accounts were unreliable due to unrecorded book reconciling items amounting to P1.102 million composed of the net effect of debit and credit memos, PhilHealth receipts, collections through debit/credit card and online payment, and disbursements without supporting	We recommended that Management instruct the CAO to make the necessary adjusting journal entries for book reconciling items after preparing the BRS to reflect the accurate balances of Cash in Bank – Local Currency, including Current, Savings, and TD accounts.	CAO is constantly coordinating with CTO by providing monthly BRS. In addition, debit/credit memos provided by CTO was either recorded through journal entries or reflected in the BS. To record the P30,000 funds allocated to SHF once the separate book was set-up with the assistance of Management Information Systems Office (MISO). Further, there is already on-going discussion between CAO and	City Accounting Office / City Treasurer's Office City Accounting Office	January 2025 January 2025	Present December 2025	On-going On-going	Unavailability of records from the bank and CTO.	To date, Philhealth transactions where already identified based on the data provided by CTO. For card payment, bank already provided daily report from June 2025. CAO will record the taxes once OBR was provided by CTO. For prior periods, there is already on-going coordination between CAO, CTO and bank.

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	documents, contrary to Sections 111 and 112 of PD No. 1445, COA Circular No. 96-011 and Paragraph 27 of IPSAS 1.		MISO on the said creation of books.						CAO will coordinate with MISO to set-up books for SHF using COA circular and Trust Fund's book.
AAR 2024 Observation No. 9 Pages 107-109	9. Cash advances (CAs) totaling P63.942 million remained unliquidated as of year-end due to failure of the Accountable Officers (AOs) to submit complete liquidation on time, contrary to Section 89 of PD No. 1445 and Items 4.1.3, 5.1 and 5.8 of COA Circular No. 97-002 dated February 10, 1997, thus overstating the asset and government equity accounts while understating the related expense accounts.	We recommended that Management instruct the concerned AOs and CAO to: a. Strictly enforce submission of the complete liquidation of CAs granted within the prescribed period; b. Timely record the AOs' liquidation in the books; and c. Enforce immediate withholding of salaries of such AOs who failed to liquidate their CAs .	To regularly issue letter of notice/demand to accountable officers with unliquidated cash advances To deploy upgrades in the Accounting System and delegate workload to new staff To issue letter of enforcement to withhold salary to HRDO for accountable officers with unliquidated cash advance who have been notified	City Accounting Office City Accounting Office City Accounting Office	January 2025 January 2025 January 2025	December 2025 December 2025 December 2025	Implemented On-going Implemented	 System developer is still in the process of upgrading, no definite on-boarding date for new employees yet	 Continued with conventional/usual way of monitoring cash advances and liquidation
AAR 2024	10. Discrepancies were observed on the recognition and recording of transactions of HF and Health Care Institutions	We recommended that the Management instruct:							

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Observation No. 10 Pages 110-117	(HCIs) owned and managed by the City, and unreconciled receivable balances between the City and PhilHealth, contrary to IPSAS 1 and 9, and PhilHealth Circular Nos. 2019-0001 and 2024-008, hence, affecting the fair presentation of the City's financial statements. Moreover, claims receivable since CYs 2017 to 2024 consisting of Return to Hospital (RTH) of P487.534 million and Denied Claims of P710.005 million remained uncollected, contrary to pertinent provisions of the Revised Implementing Rules and Regulations (RIRR) of RA No. 7875. Thus, reducing the fund for programs, projects and activities (PPAs) to promote health and well-being of City's constituents.	a. The Head of CHD, Medical Director of PCGH, and Medical Director of PCCH to – - Regularly reconcile the records of the City's HFs and HCIs pertaining to benefit claims with the records of PhilHealth to ensure that AP of PhilHealth is reconciled with AR of HFs and HCIs; - Enhance collection for RTH and Denied claims to PhilHealth by strictly monitoring the same to increase funds for health-related PPAs; and - Submit to CAO the – i. Outstanding receivables as of December 31, 2024, from patients who do not qualify under the No Balance Billing Policy of the City for recording of receivables and adjustment to	Send a letter and format or template to guide Hospitals/CHO on reporting of data.	CHO/C AO	January 2025	December 2025	On going	Tracking of previous files by office concern	PCCH already transmitted a copy of receivables from PhilHealth. This will be recorded this September 2025.

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		Government Equity account; ii. Outstanding claims from PhilHealth as of December 31, 2024 for recording in Due from GOCCs account, Other Payables account and adjustment to Government Equity account; iii. List of RTH and Denied Claims as of December 31, 2024 for monitoring and proper recording in the books; iv. List of re-filed RTH claims and Appealed Claims as of December 31, 2024; v. Records of gross and net billings of patients served by the City's HFs and HCIs for accrual of income and recording of receivables on a monthly basis;	Record the receivables claim from Philhealth upon received of documents	CHO/C AO	January 2025	December 2025	On going	Tracking of previous files by office concern	Follow up request letter sent to them

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		PhilHealth as of December 31, 2024, based on the records that will be submitted by the CHD, PCGH and PCCH; • Ensure the proper recognition of income and receivables, both from paying patients and claims from PhilHealth, for services rendered by City's HFs and HCIs based on the monthly reports to be submitted by the CHD, PCGH and PCCH; • Regularly reconcile its records with CHD, PCGH and PCCH to ensure that correct/proper amounts is recorded in the books of account of the City.	December 31, 2024, once data are received from CHD, PCGH and PCCH. CAO will ensure proper recognition of income and receivables from paying patients and claims from Philhealth once the monthly reports are received from CHD, PCGH and PCCH. Upon submission of the required documents, CAO will start regular reconciliation of its records on a monthly basis with CHD, PCGH and PCCH.	Accounting Office City Accounting Office	January 2025 January 2025	December 2025 December 2025	On-going On-going	Awaiting documents from CHD, PCGH and PCCH. Awaiting documents from CHD, PCGH and PCCH.	
AAR 2024	11. The 30 percent share of the Barangays from Real Property Taxes (RPT) collected by the City were released beyond the	We recommended that Management instruct: a. The CAO –							

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Observation No. 11 Pages 117-120	period prescribed by Section 271 of RA No. 7160, thus, resulting in possible delay in the implementation of PPAs of the concerned Barangays.	Promptly encode RPT collections in the accounting system to expedite the processing of the release of Barangay shares therefrom; and	CAO is promptly encoding the RPT collection upon receiving the RCD from the CTO. However, since the CTO is computing the RPT share of the barangay on a manual basis, there is possibility that all receipts could not be encoded on time prescribed for remittance to barangay. The CAO is hoping that the upgrading of the accounting system could address the concern; and	City Accounting Office	January 2025	December 2025	On-going	Awaiting system update.	Continuous coordination with MISO.
		Continuously coordinate with MISO regarding the updating/upgrading of the accounting system to prevent the manual determination and encoding of the Barangay where the property subject of the RPT is located and for convenient extraction of reports; and	Coordination with MISO is constantly done to resolve the issue. The CAO already provided MISO a sample template of the Real Property Daily Abstract Report per mode of payment and with barangay name.	City Accounting Office	January 2025	December 2025	On-going	Awaiting system update	Continuous coordination with MISO.

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		The MISO to immediately refer the request of the CAO to the system provider to help facilitate the timely release of Barangay shares from RPT.							
AAR 2024 Observation No. 12 Pages 120-122	12. The year-end balance of AP amounting to P2.919 billion was doubtful due to: (a) inclusion of erroneous entries amounting to P629.295 million; and (b) presence of long outstanding balances for more than two years amounting to P62.539 million, which are not in accordance with COA Circular No. 2015-009 dated December 01, 2015, Section 98 of PD No. 1445, and Sections 3.1 and 3.3 of Department of Budget and Management (DBM) - COA Joint Circular (JC) No. 99-6 dated November 13, 1999, thus, affecting the fair presentation of payable accounts in the financial statements.	We recommended that Management instruct the CAO to: a. Conduct a detailed analysis of the AP account and reclassify any amounts that were incorrectly classified to Other Payables or to their appropriate liability accounts, to ensure the accurate presentation of liabilities in the financial statements; and b. Determine whether the dormant payables amounting to P62,538,500.92 represent valid and enforceable obligations of the City, thereafter, initiate the reversion of the said amount to the unappropriated surplus of the GF.	CAO identified 1,565 Accounts Payable (AP) Subsidiary Ledgers (SLs) accounts to reclassify to Other Payables (OP) account. These AP SLs must have new OP SL accounts; hence, it would consume time before preparing the necessary adjusting entry. The necessary adjusting entry was made, JEV#100-2025-0053 dated May 7, 2025 amounting P34,017,239.14,, to revert long outstanding balances classified as MOOE, for more than two years to the unappropriated surplus of the GF. The remaining P20,232,056.78	CAO <					

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			was classified as capital outlays awaiting confirmation as to the status of delivery of goods and/or services and P8,289,205.00 were paid in CY 2025.						
AAR 2024 Observation No. 13 Pages 122-126	13. The year-end balances of the accounts RPT and Special Education Tax (SET) Receivables, and the corresponding Deferred RPT and SET accounts, amounting to P210.319 million and P102.997 million, respectively, were doubtful due to discrepancy of 175,688 taxable Real Property Units (RPUs) subject to tax assessment per Assessment Roll and Summary of Receivables, both generated by the Real Property Assessment System (RPAS), as basis in establishing the RPT/SET Receivables at the beginning of the year, contrary to Section 248 of RA No. 7160 and Section 20 of the MNGAS for LGUs, resulting in (estimated) unrecognized RPT and SET Receivables and the corresponding Deferred RPT and SET accounts of P899.515	We recommended that Management direct the – a. MISO to: • Establish the reliability of the reports generated by the RPAS by providing accurate data reflected in the Assessment Rolls and Summary of Receivables as to the total number of RPUs in the City; and • Coordinate with the end users of the RPAS to determine the reasons of contradicting data between the report generated by the CTO and the CAsO , and reconcile the same. b. CAsO to:							

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	million and P599.676 million, respectively.	- Submit the Assessment Roll, in soft or hard copy, on or before the 31st day of December each year which will served as the basis by the CTO in preparing the duly certified list of taxpayer; and - Reconcile the RPUs reflected in the summarized Assessment Roll and the Summary of Receivables. CTO to: - Prepare the duly certified list of taxpayer and Summary of Receivables based on the Assessment Roll submitted by the CAsO, copy furnished the CAO; and - In coordination with CAsO and MISO, provide details of current year's receivables. Determine whether							

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		the “prior years’ delinquencies” RPUs were included or excluded in the “current year’s receivables” to establish the correct receivables at the beginning of the year.							
AAR 2024 Observati on No. 14 Pages 126-129	14. The City registered a low utilization rate of 39.55 percent on its total appropriation of P1.452 billion under SEF attributed to the underutilization or non-implementation of various priority programs, activities, and projects (PPAs) outlined in the annual and supplemental budgets (SB), contrary to the pertinent provisions of RA No. 7160 and DepEd-DBM-DILG JC No. 1, s. 2017, thereby preventing the full realization of the fund’s intended purpose as well as depriving the students of the benefits that could be derived from the timely implementation of the funded PPAs.	We recommended that the Management direct the CLSB and PCED to – a. Improve SEF utilization performance by maximizing the use of available funds to implement the priority PPAs indicated in the AIP; and b. Ensure that PPAs in connection with the repairs and maintenance of school buildings are implementation-ready, thus, having a readily available POWs.							

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AAR 2024 Observation No. 15 Pages 129-131	15.The CLSB incurred delays of 58 days in approving the SEF budget for CY 2024 which require its approval not later than October 31 of the current year contrary to the provisions of the Department of Education (DepEd), DBM, and DILG JC No. 1, s. 2017, thus, depriving the CLSB in timely identification of PPAs not funded in the approved SEF budget taking into considerations the priorities contained in the Division Education Development Plan (DEDP).	We recommended that the Management direct the CLSB to – a. Ensure the timely preparation and approval of the SEF budget of the ensuing year on or before October 31 of the current year; and b. Re-evaluate the priority programs funded by the SEF to ensure full compliance with the legal mandate governing the fund and to minimize the need for supplemental budget or augmentation for priority PPAs not initially included in the approved SEF Budget.							
AAR 2024 Observation No. 16 Pages 132-134	16. For CY 2024 the City was unable to submit to COA, at the beginning of the year, a list of all ongoing government PPAs, as well as those scheduled for implementation during the year to. Also, the delayed notification of posting of project signboards and the non-disclosure of	We recommended that Management direct: a. The CEO to submit the notification of posting of signboards to COA within the prescribed period as required by Section 3.1 of COA Circular No. 2013-004							

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	complete information as to the current status of the projects are contrary to COA Circular No. 2013-004 dated January 30, 2023, thus, impeded the effective monitoring of the agency's compliance with the constitutional mandate to ensure the public's right to information on matters of public concern.	dated January 30, 2013; b. The CEO to provide the COA at the beginning of the year, with a list of all on-going government PPAs and those that are to be implemented during the current year; and c. The concerned personnel/project engineers to check/monitor the contractor's proper posting of signboards and to timely update the status of completion of the project as required by Section 3.2 of COA Circular No. 2013-004 dated January 30, 2013.							
AAR 2024 Observation No. 17 Pages 134-136	17. Sixteen PPAs funded from the 20% Development Fund (DF) amounting to P1.193 billion remain unimplemented or incomplete as of December 31, 2024, contrary to Item 3.2.3 of DBM-Department of Finance (DOF)-DILG Joint	In view of the foregoing, we recommended and Management agreed to direct/instruct the CEO and other implementing offices to expedite the completion of all ongoing projects funded under the 20% DF and enforce the imposition							

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	Memorandum Circular (JMC) No. 1 dated November 4, 2020, thus, affecting the optimal use of the fund and hindered the realization of the intended benefits that these projects were expected to deliver.	of liquidated damages on contractors responsible for significant delays. Also, we reiterated our previous year's recommendation that Management instruct – a. The City Planning & Development Office (CPDO) to strictly monitor the implementation of PPAs funded out of 20% DF to ensure alignment with the approved development plan; and b. The PMO and the Bids and Awards Committee (BAC) and implementing offices to ensure that the procurement process is conducted in accordance with the scheduled timelines of the approved PPAs.							
AAR 2024 Observation No. 18	18.The City was unable to fully utilize 54.84 percent of the appropriation for Local Disaster Risk Reduction and Management Fund (LDRRMF) in CY 2024 amounting to P358.828 million, also 21 out	In view hereof, we recommended and Management agreed to instruct the CDRRMO to execute a catch-up plan for the partially and unimplemented PPAs under							

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Pages 137-139	of the 63 PPAs were unimplemented due to slow/delayed procurement process, contrary to Section 21 of RA No. 10121 dated May 27, 2010, thus, the fund's objectives to enhance and strengthen its disaster preparedness and response capabilities as well as its disaster resilience were not optimally achieved.	LDRRMF and to properly monitor the efficient and full implementation of the priority PPAs in accordance with RA 10121; and We also reiterated our previous year's recommendation and Management agreed to instruct the BAC in coordination with the end-user to expedite the procurement process to ensure the timely implementation of the planned PPAs and to avoid under-utilization of the LDRRMF.							
AAR 2024 Observation No. 19 Pages 139-142	19. The City was unable to utilize 43.24 percent of the appropriated amount for LCPC PPAs amounting to P118.344 million, contrary to the provisions of DILG Memorandum Circular (MC) No. 2021-039 dated April 7, 2021, due to inadequate monitoring mechanisms and experienced delays in the procurement process. Consequently, these shortfalls hindered the City's efforts to advance the well-being of children and their families.	We recommended the Management agreed to direct: a. The CSWDO to promptly submit the purchase request and supporting documents to the PMO for the BAC to conduct bidding, and thus, to facilitate the timely processing and implementation of planned activities; and							

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		b. The PMO to streamline and optimize purchase request and supporting documents' review and validation process to ensure timely acquisition of supplies in accordance with the activity timelines outlined in the AIP.							
AAR 2024 Observation No. 20 Pages 142-143	20. The composition of the LCPC is not in compliance with DILG MC No. 2021-39 dated April 7, 2021.	We recommended and Management agreed to review and reconstitute the composition of the LCPC in compliance with DILG MC No. 2021-039 dated April 07, 2021.							
AAR 2024 Observation No. 21 Pages 144-147	21. The City did not strictly comply with the requirement of establishing and maintaining Materials Recovery Facilities (MRFs) in every barangay or cluster of barangays contrary to Section 32 of RA No. 9003 and DILG MC No. 2009-168, hence, administrative sanctions might be imposed against local government officials	We recommended and Management agreed to instruct: a. The SWMO to – •Coordinate with and provide the necessary assistance to the Barangay officials for the establishment of MRFs in every barangay or cluster of barangays; and							

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	and officials of government agencies concerned.	●Regularly monitor the operation of the MRFs managed by the City and Barangays to ensure that the same is in good condition and used for the purpose for which the same is created. b. The ABC President to remind Barangay officials to find/provide suitable space for MRF and ensure that their programs and projects relating to solid waste management are aligned with that of the City.							
AAR 2024 Observation No. 22 Pages 147-152	22. The actual utilization of the fund appropriated for (Local Climate Change Action Plan) LCCAP for CY 2024 amounting to P661.664 million could not be ascertained due to: (a) error in the climate change (CC) expenditure tagging of 34 PPAs in the AIP; and b) discrepancies between the CC PPAs in the AIP and PPAs in the submitted	We recommended and Management agreed to: a. Direct CENRO to closely coordinate with CPDO to increase awareness among implementing departments in the CCET process to ensure proper integration of CC adaptation and mitigation PPAs in the City's plans; b. Instruct the LCCAP Secretariat to closely							

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	Monitoring and Evaluation (M&E) Report reflecting inadequate planning, execution and monitoring contrary to RA No. 9729, as amended by RA No. 10174, DBM-Climate Change Commission (CCC) and DILG JMC No. 2015-01 dated July 23, 2015, and Item 2.2.17 of Local Budget Memorandum (LBM) No. 87 dated June 9, 2023, thus, the extent of the City's progress in fulfilling its mandate to systematically integrate the concept of CC in policy formulation to reduce the adverse impacts of such to its constituents could not fully evaluated.	coordinate with the implementing offices to prepare the M&E Report that includes all the CC adaptation and mitigation PPAs with complete details such as the allocated budget, actual cost incurred and status of PPAs to enable easier monitoring of utilization of fund and implementation of PPAs; and c. Ensure that the planned CC adaptation and mitigation PPAs as indicated in the City's LCCAP as integrated/mainstreamed in the AIP are implemented in accordance with RA No. 9729, as amended by RA No. 10174.							
AAR 2024 Observation No. 23	23. The City's budget for client-focused and organization-focused Gender and Development (GAD) PPAs amounting to P331.716 million showed utilization of P105.720 million or 31.87 percent	We recommended and Management agreed to direct the GFPS and the GAD TWG to ensure that GAD PPAs are effectively and efficiently implemented within its target							

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Pages 152-156	indicating that the budget allocation totaling P225.996 million for various GAD flagship PPAs was either under-utilized, not implemented at all or some target indicator was not achieved, contrary to the pertinent provisions of the Philippine Commission on Women (PCW), DILG, DBM, and National Economic and Development Authority (NEDA) JMC Nos. 2013-01 and 2016-01. Thus, affecting the City's vision to be an exemplar of inclusive and participatory governance, and empowering women and men in all their diverse and intersecting identities.	implementation period and make sure that the GAD budget is judiciously utilized as intended.							
AAR 2024 Observation No. 24 Pages 157-158	24. The GAD utilization amounting to P1.030 billion as reported in the GAD Accomplishment Report could not be fully traced in the books of accounts, of which only P40.758 million was recorded as GAD-related expenses, due to non-implementation of the Responsibility Center (RC) Code,	We recommended that the Management direct the GFPS, TWG, CAO and City Budget Office to come up with standardize RC Code for GAD-related expenses that will be integrated in the computerized accounting system of the City GFPS to facilitate the generation of all reports pertaining to GAD-related expenses and other GAD-related financial transactions, and to monitor							

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	contrary to COA Circular No. 2021-008. Thus, the accuracy of the reports pertaining to GAD-related expenses and financial transaction could not be ascertained.	and properly account the utilization of the GAD funds							
AAR 2024 Observation No. 25 Pages 159-162	25. The Due to BIR account balance as of December 31, 2024, amounting to P60.829 million included taxes withheld in CY 2024 and in prior periods totaling P2.661 million which were not remitted within the prescribed period contrary to the provisions of BIR Revenue Regulation (RR) No. 02-98, as amended by RR No. 11-2018, Revenue Memorandum Order (RMO) No. 23-2014, and National Internal Revenue Code of 1997 (NIRC), as amended, thus, unnecessary penalties, surcharges and interests might be	We reiterated our previous years' recommendation that Management instruct: a. The CAO to – • Conduct further verification and analysis of long outstanding Due to BIR account balances to finally settle the same and to avoid incurrence of unnecessary surcharges and interests that might be imposed by the BIR; and • Immediately remit the amount of P2,661,415.90 to BIR or make proper adjustments, if warranted. b. The CTO to closely coordinate with and immediately inform the LMRO as regards	To remit all verified unremitted amount to the BIR	CAO	January 2024	August 2024	Implemented		Unremitted amounts including the month of July 2025 transactions were remitted full in the month of August 2025. (attached August SL and copy of voucher) However taxes pertaining to the Land account were still unremitted.

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	imposed by the BIR for the delayed and/or non-remittance of taxes.	release of checks pertaining to payment of DST, CGT and Estate Taxes for real properties bought or expropriated by the City; and c. The LMRO to facilitate the immediate remittance to BIR of withheld taxes pertaining to real properties bought or expropriated by the City, particularly, DST and CGT which has been outstanding for four to six years.							
AAR 2024 Observation No. 26 Pages 162-168	26 Employee and employer premium contributions and loan amortizations recorded under Due to GSIS account amounting to P4.382 million remained unremitted to GSIS, contrary to the IRR of RA No. 8291 or the GSIS Act of 1997, which might result in the suspension of loan privileges of the members and disqualification to receive the yearly dividends in addition to imposition of interests for the unremitted amount.	We recommended that Management instruct: a. The CAO to – • To reconcile its records with GSIS and HRDO to facilitate full remittance of the employee's and employer's share premium contributions and loan amortizations of City personnel within the first 10 days of the calendar month following the month to which the contributions apply or	To reconcile its records with GSIS and HRDO	City Accounting Office	January 2025	December 2025	On going	Unreconcile balances from CY 2016 and unupdated employees records with GSIS	Remittance and Adjustments had been made with the amount of Php 3,602,741.95 as of Aug 20, 2025 and the balance of 779,320.78 are still under reconciliation with HRDO

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		when the deductions were effected; and - Determine and exert extra effort in tracing the details of the balances as well as the noted discrepancies pertaining to prior years' unremitted accounts by reconciling the accounting and HRDO records with the statement of account from the GSIS. b. The HRDO – - To ensure the downloading of the Monthly Electronic Billing File (EBF) from EBCS for reconciliation with the CAO to facilitate full remittance of the employee's and employer's share for premium contributions and loan amortizations of City personnel; - To take advantage of the feature of EBCS relating to uploading of agency's ERF for validation against GSIS database						The balances were determined and forwarded to HRDO for compliance of GSIS forms for record update and continuous coordination with HRDO and GSIS personnel	

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		to prevent rejection of remittances; and •To continue close coordination with GSIS until their personnel records are reconciled with that of the City to avoid or minimize unremitted balances. The CAO and HRDO to meet with GSIS to discuss matters with respect to the GSIS account of the agency, particularly, premium arrearages for prior years.							
AAR 2024 Observation No. 27 Pages 168-173	27 Employee's and employer's contribution, MP2 savings and loan amortizations maintained under Due to Pag-Ibig account amounting to P2.792 million was not remitted to Pag-IBIG Fund within the prescribed period pursuant to the provisions of the IRR of RA No. 9679 and Home Development Mutual Fund (HDMF)	We recommended that Management instruct: a. The HRDO to – • Request the latest Statement of Account (SOA) from Pag-IBIG Fund to determine the unremitted contributions and loan amortizations withheld by the City for current and prior years; and • Upon receipt of SOA, closely coordinate with							

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	Circular No. 275, hence, civil and/or criminal sanctions may be imposed against the officer or employee responsible thereto.	the CAO for reconciliation of the same with accounting records to determine the actual amount that should be remitted to Pag-Ibig Fund. The CAO to – • Validate and immediately remit to Pag-IBIG Fund the amount of P2,791,838.38 or make the necessary adjustments in the books, if warranted; and • Ensure that management remit the employer share and employees contributions to the Pag-IBIG Fund on time as prescribed by rules and regulations, together with payments made on loan amortizations, if any; and regularly reconcile its records with HRDO to avoid/prevent or minimize accumulation of unremitted payments to the Fund.	To validate and immediately remit or make necessary adjustment for the balances	City Accounting Office	January 2025	December 2025	On Going	Unreconcile balances from CY 2016	Remittance and adjustments had been made in the amount of Php 2,617,928.90 and still on going reconciliation. Continuous coordination with HRDO personnell

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AAR 2024 Observation No. 28 Pages 173-176	28. PhilHealth premium contributions withheld from the salaries of City officials and employees recorded under Due to PhilHealth account amounting to P2.006 million remain unremitted contrary to the revised IRR of National Health Insurance Act of 2013 and PhilHealth Circular No. 001, s. 2014. As a result, the employer or officer authorized to collect contributions may be subjected to imposition of fines for the unremitted amount.	We recommended that Management instruct: a. The HRDO to – - Request from PhilHealth SPA or the latest SOA to determine the unremitted premium contributions to the Corporation for current and prior years; and - Upon receipt of SPA/SOA, closely coordinate with the CAO for reconciliation of the same with accounting records to determine the actual amount that should be remitted to PhilHealth. b. The CAO to – - Validate the SPA/SOA and immediately remit to PhilHealth the amount of P2,005,502.23 or make the necessary adjustments in the books, if warranted; and - Regularly reconcile its records with HRDO to avoid/prevent or minimize accumulation of unremitted premium payments to PhilHealth.	The CAO have data of employees whose contributions are still recorded in the books from which amounts have been coordinated to HRDO office for Philhealth Validation	City Accounting Office	January 2025	December 2025	On Going	Unreconcile balances from CY 2016 and pending adjustment to coordinate by HRDO personnel to Philhealth office	Remittance and adjustments had been made in the amount of Php 1,760,355.36 and still ongoing reconciliation. Continuous coordination with HRDO personnel

Consolidated by:

ATTY. BERNICE C. MENDOZA
Executive Assistant V, Office of the City Mayor

Date



JUVY A. CUENOD
CITY ACCOUNTANT

Noted by:

VICTOR MA REGIS N. SOTTO
City Mayor

Date

Note: Status of Implementation may either be (a) Fully Implemented, (b) Ongoing, (c) Not Implemented, (d) Partially Implemented, or (e) Delayed